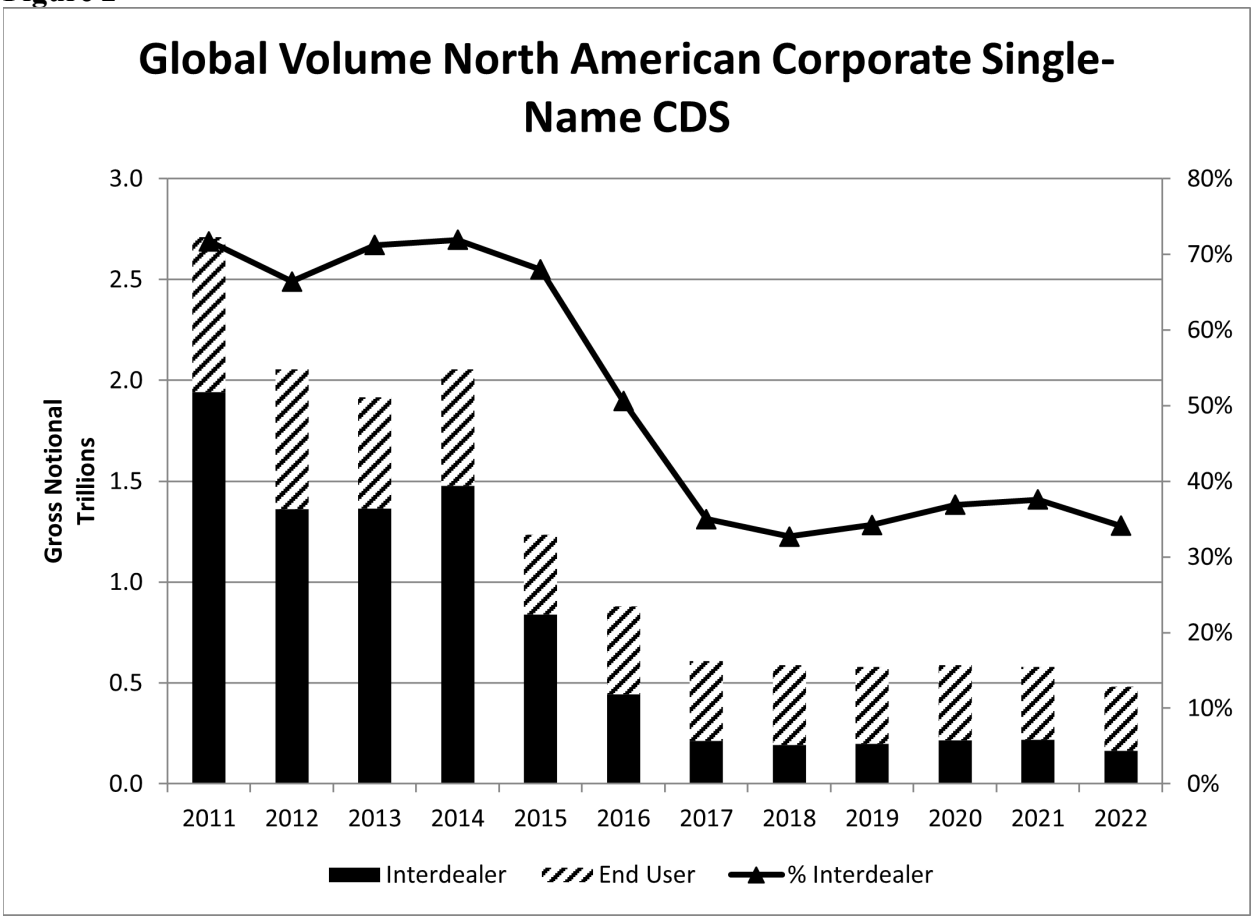
through 2015, before falling from approximately 68% in 2015 to under 40% in 2022. This change corresponds to the availability of clearing to non-SBS dealers. Interdealer transactions continue to represent a significant fraction of trading activity, even as notional volume has declined over the past 12 years,[832] from just under $2 trillion in 2011 to less than $500 billion in 2022.

Figure 2



SOURCE: DTCC CDS – TIW. Global, notional trading volume in North American corporate single-name CDS by calendar year and the fraction of volume that is interdealer. These statistics were calculated using data from the entire calendar year for 2011 through 2021. For 2022, these statistics were calculated using data from Jan. 2022 to Sep. 2022. Same-day cleared trades are assumed to be either interdealer or between an SBS dealer and an end user (transactions between two end users are rare in both cleared and uncleared trading).

832 The start of this decline predates the enactment of the Dodd-Frank Act and the proposal of rules thereunder.

The high level of interdealer trading activity reflects the central position of a small number of SBS dealers, each of which intermediates trades with many hundreds of counterparties. While the Commission is unable to quantify the current level of trading costs for single-name CDS, these SBS dealers appear to enjoy market power as a result of their small number and the large proportion of order flow that they intermediate.

As shown in Figure 3 below, half of the trading activity in North American corporate single-name CDS was between counterparties domiciled in the United States and counterparties domiciled abroad. Using the self-reported registered office location of the DTCC-TIW accounts as a proxy for domicile, the Commission estimates that only 13% of the global transaction volume by notional volume between January 2008 and September 2022 was between two U.S.-domiciled counterparties, compared to 50% entered into between one U.S.-domiciled counterparty and a foreign-domiciled counterparty, and 37% entered into between two foreign-domiciled counterparties.[833]

If the Commission instead considers the number of cross-border transactions from the perspective of the domicile of the corporate group (e.g., by classifying a foreign bank branch or foreign subsidiary of a U.S. entity as domiciled in the United States), the percentages shift significantly. Under this approach, the fraction of transactions entered into between two U.S.-domiciled counterparties increases to 36% and remains at 50% for transactions entered into between a U.S.-domiciled counterparty and a foreign-domiciled counterparty.[834] By contrast, the

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[833] For purposes of this discussion, the Commission has assumed that the registered office location reflects the place of domicile for the fund or account, but this domicile does not necessarily correspond to the location of an entity's sales or trading desk. *See* ANE Adopting Release, 81 FR at 8607 n.83.

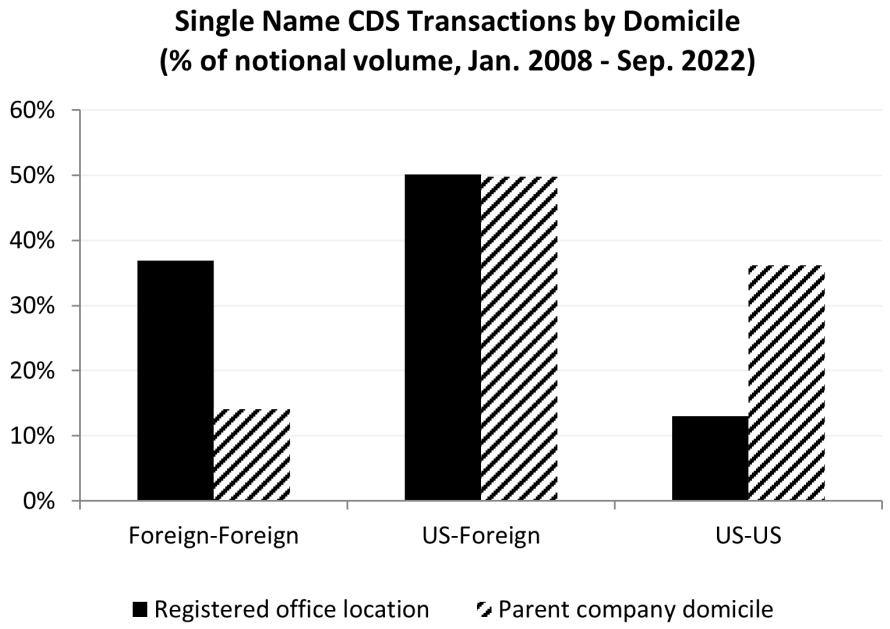
[834] These estimates do not indicate the fraction of North American corporate single-name CDS transactions that would be subject to the trade execution requirement, if it were in force for such transactions. In particular, if the trade execution requirement were in force for North American corporate single-name CDS, a foreign subsidiary of a U.S. entity transacting in such CDS would only be subject to the trade execution requirement if the U.S. parent provides a guarantee to the foreign subsidiary.

proportion of activity between two foreign-domiciled counterparties drops from 37% to 14%. This change in respective shares based on different classifications suggests that the activity of foreign subsidiaries of U.S. firms and foreign branches of U.S. banks accounts for a higher percentage of SBS activity than U.S. subsidiaries of foreign firms and U.S. branches of foreign banks. It also demonstrates that financial groups based in the United States are involved in an overwhelming majority (approximately 86%) of all reported transactions in North American corporate single-name CDS.

Financial groups based in the United States are also involved in a majority of interdealer transactions in North American corporate single-name CDS. Of the transactions on North American corporate single-name CDS between two ISDA-recognized SBS dealers and their branches or affiliates over the 12-month period from October 2021 to September 2022, 80.7% of transaction notional volume involved at least one account of an entity with a U.S. parent.[835] In addition, a majority of North American corporate single-name CDS transactions occur in the interdealer market or between SBS dealers and foreign non-SBS dealers, with the remaining portion of the market consisting of transactions between SBS dealers and U.S.-person non-SBS dealers. Specifically, 86% of North American corporate single-name CDS transactions involved either two ISDA-recognized SBS dealers or an ISDA-recognized SBS dealer and a foreign non-SBS dealer. Approximately 14% of such transactions involved an ISDA-recognized SBS dealer and a U.S.-person non-SBS dealer.

[835] Since the Commission is unable to pair up the same-day cleared trades, this 80.7% estimate is based on bilateral trades that were not same-day cleared in the 12-month period from Oct. 2021 to Sept. 2022.

Figure 3



SOURCE: DTCC CDS – TIW. The fraction of notional volume in North American corporate single-name CDS between (1) two U.S.-domiciled accounts, (2) one U.S.-domiciled account and one non-U.S.-domiciled account, and (3) two non-U.S.-domiciled accounts, computed from Jan. 2008 through Sep. 2022.

3. Other Markets and Regulatory Frameworks

The numerous financial markets are integrated, often attracting the same market participants that trade across corporate bond, swap, and SBS markets, among others.[836] This is notwithstanding the fact that the SBS market is a small fraction of the swap market[837] and the single-name CDS market, which falls under SEC jurisdiction, is slightly smaller than the index CDS market, which falls under CFTC jurisdiction.[838] For example, persons who register as SBS

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836 *See* Rule 194 Proposing Release, 80 FR at 51711.

837 *See* ISDA-SIFMA Letter, *supra* note 18, at 2 (agreeing with the Commission's statement in the Proposing Release that the SBS market is a small fraction of the swap market).

838 As of Nov. 25, 2022, the SBS market had a gross notional amount outstanding of approximately $8.5 trillion (*see supra* section I and section XVII.B.2, Table 1), while the swap market (comprising, for purposes of this discussion, swaps in the interest rate, credit, and foreign-exchange asset classes) had a gross notional amount outstanding of approximately $352 trillion. *See supra* section I. The gross notional amount outstanding in single-name CDS (both corporate and sovereign) was approximately $4.3 trillion

dealers and major SBS participants are likely also to be engaged in swap activity. In part, this overlap reflects the relationship between single-name CDS contracts, which are SBS, and index CDS contracts, which may be swaps or SBS. A single-name CDS contract covers default events for a single reference entity or reference security. Index CDS contracts and related products make payouts contingent on the default of index components and allow participants in these instruments to gain exposure to the credit risk of the basket of reference entities that comprise the index, which is a function of the credit risk of the index components. A default event for a reference entity that is an index component will result in payoffs on both single-name CDS written on the reference entity and index CDS written on indices that contain the reference entity. Because of this relationship between the payoffs of single-name CDS and index CDS products, the prices of these products depend upon one another,[839] creating hedging opportunities across these markets.

These hedging opportunities mean that participants that are active in one market are likely to be active in the other. Commission staff analysis of approximately 3,829 DTCC-TIW accounts that participated in the market for single-name CDS in the 12-month period from October 2021 to September 2022 revealed that approximately 2,836 of those accounts, or 74%, also participated in the market for index CDS. Of the accounts that participated in both markets, data regarding transactions in these 12 months suggest that, conditional on an account transacting in notional volume of index CDS in the top third of accounts, the probability of the same account

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(*see supra* section XVII.B.2, Table 1), while the gross notional amount outstanding in index CDS (including index CDS tranches) was approximately $4.5 trillion. Data on gross notional amount outstanding in index CDS is from CFTC Swaps Report, *available at* https://www.cftc.gov/MarketReports/SwapsReports/L3Grossexp.html (accessed on Sept. 27, 2023).

839 "Correlation" typically refers to linear relationships between variables; "dependence" captures a broader set of relationships that may be more appropriate for certain swaps and SBS. *See, e.g.*, George Casella & Roger L. Berger, Statistical Inference 171 (2nd ed. 2002).

landing in the top third of accounts in terms of single-name CDS notional volume is approximately 53%; by contrast, the probability of the same account landing in the bottom third of accounts in terms of single-name CDS notional volume is only 12%. As a result of cross-market participation, informational efficiency, pricing, and liquidity may spill over across markets.[840]

Of the 51 registered SBS dealers, 44 are dually registered with the CFTC as swap dealers and are therefore subject to CFTC requirements for entities registered with the CFTC as swap dealers. Further, of the 51 registered SBS dealers, 30 have a prudential regulator.

4. Number of Entities That Likely Will Register as SBSEFs

Entities that will seek to register with the Commission as SBSEFs are likely to be SEFs that are active in the index CDS market. Three commenters are generally supportive of this belief, stating that the entities most likely to register as SBSEFs are those that are already registered with the CFTC as SEFs.[841] No commenters express disagreement with this belief. Currently, 24 SEFs are registered with the CFTC.[842] Of these SEFs, seven list index CDS for trading.[843] If these SEFs were to list single-name CDS or other SBS for trading, they would be

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840 *See* Business Conduct Standards Release, *supra* note 101, 81 FR at 30108; Christopher L. Culp, Andria van der Merwe, & Bettina J. Starkle, *Single-name Credit Default Swaps: A Review of the Empirical Academic Literature* 71–85 (ISDA Study, Sept. 2016), *available at* https://www.isda.org/a/KSiDE/single-name-cdsliterature-review-culp-van-der-merwe-staerkleisda.pdf; Patrick Augustin, Marti G. Subrahmanyam, Dragon Y. Tang, & Sarah Q. Wang, Credit Default Swaps: Past, Present, and Future, 8 Ann. Rev. Fin. Econ. 175 (2016).

841 *See* ICE Letter, *supra* note 18, at 1–2; ICI Letter, *supra* note 18, at 1; Tradeweb Letter, *supra* note 18, at 1–2.

842 *See* CFTC, Swap Execution Facilities (registered) (retrieved June 28, 2023), *available at* https://www.cftc.gov/IndustryOversight/IndustryFilings/SwapExecutionFacilities?Status=Registered&Date_From=&Date_To=&Show_All=0.

843 For purposes of this discussion, options on index CDS and index CDS tranches are included as part of index CDS. For SEFs that list index CDS for trading, *see* BGC Derivative Markets, L.P. Contract Specifications (Oct. 31, 2022), *available at* http://www.bgcsef.com/wp-content/uploads/2022/11/BGC-SEF-Contract-Specifications_10-31-22.pdf; *Bloomberg SEF LLC Rulebook* (Dec. 5, 2022), *available at* https://assets.bbhub.io/professional/sites/10/BSEF-Effective-Rulebook.pdf; *GFI Swaps Exchange:*

required to register as SBSEFs with the Commission. In 2022, index CDS volume on U.S. SEFs was distributed as follows: one SEF had the largest share of index CDS volume (in notional amount) at $10.6 trillion (68%); one SEF had the second largest share at $3.4 trillion (22%); and the remaining 10% of volume was shared among four other SEFs.[844] The number of SBSEF registrants most likely falls between two and seven, but there is uncertainty around the upper end of this estimate. The likely number of SBSEF registrants is five.

5. SBS Trading on Platforms

By analyzing SBS transactions reported to registered SBSDRs,[845] the Commission has estimated the extent of SBS trading on platforms. Of the new transactions in credit SBS executed between November 8, 2021, and December 2, 2022, 14,163 were executed on platforms (2% of all new transactions in credit SBS). During the same period, 329 new transactions in equity SBS were executed on platforms (less than 0.01% of all new transactions in equity SBS), while one

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Products & Contract Specifications, GFI Group, *available at* http://www.gfigroup.com/markets/gfi-sef/products/; ICE Swap Trade, LLC, *Swap Execution Facility Rulebook Version: 2.42* (effective May 8, 2023), *available at* https://www.theice.com/publicdocs/swap_trade/Rulebook.pdf; TW SEF LLC, *Swap Execution Facility Rules* (effective Jan. 6, 2023), *available at* https://www.tradeweb.com/48ceb9/globalassets/our-businesses/market-regulation/sef-rulebook-jan-2023/tw-sef-rulebook-1.6.23.pdf; TRADITION SEF, *Appendix B to Tradition SEF Rulebook: Credit Product Listing, available at* https://www.traditionsef.com/assets/regulatory/Rulebook-Appendix-B-TSEF-Rulebook-6-02-2023.pdf; tpSEF Inc., *tpSEF Inc. Rulebook Appendix B: tpSEF Inc. Swap Specifications* (effective Mar. 7, 2023)*, available at* https://www.tullettprebon.com/swap_execution_facility/documents/tpSEF%20-%20Rulebook%20-%20Appendix%20B%20-%20Swap%20Specifications.pdf?2023411.

844 Index CDS volume traded on SEFs is from Futures Industry Association's SEF Tracker. *See SEF Tracker Historical Volume*, FIA, *available at* https://www.fia.org/monthly-volume.

845 The estimates presented in this section differ from those presented in the Proposing Release, *supra* note 1, 87 FR at 28946, because of a number of reasons. First, staff from the Division of Economic and Risk Analysis derived the estimates presented herein using reports of SBS transactions executed between Nov. 8, 2021, and Dec. 2, 2022, whereas in the Proposing Release, the staff used reports of SBS transactions executed between Nov. 8, 2021, and Feb. 28, 2022. Second, the staff implemented additional filters to the reports of SBS transactions to (1) more accurately identify and exclude from the analysis those SBS transactions that arise from the allocation of an executed bunched order; (2) exclude potentially erroneous reports (e.g., SBS transactions with extremely large or small notional amount or SBS transactions with improperly sequenced timestamps); (3) identify the current version of a given report; and (4) exclude duplicate reports.

new transaction in interest rate SBS was executed on a platform (0.01% of all new transactions in interest rate SBS). These observations suggest that the vast majority of SBS trading continues to be conducted bilaterally in the OTC market.

The Commission identified 18 platforms on which new SBS transactions were executed between November 8, 2021, and December 2, 2022. Of these 18 platforms, 14 are foreign SBS trading venues and four are U.S. SBS trading venues. Of the four U.S. SBS trading venues, two are CFTC-registered SEFs and two are affiliated with CFTC-registered SEFs. Of the new transactions in credit SBS executed between November 8, 2021, and December 2, 2022, 710 were executed on non-U.S. platforms and involved at least one counterparty that is a U.S. person or a non-U.S. person whose performance under the SBS is guaranteed by a U.S. person (0.1% of all new transactions in credit SBS). During the same period, 241 new transactions in equity SBS were executed on a non-U.S. platform and involved at least one counterparty that is a U.S. person or a non-U.S. person whose performance under the SBS is guaranteed by a U.S. person (less than 0.01% of all new transactions in equity SBS transactions).[846]

One commenter states that only a minority of SEFs currently offer trading in SBS and SEFs that do offer trading in SBS estimate that they have approximately 50 or fewer trades per day in SBS.[847] As discussed earlier, the Commission identified two CFTC-registered SEFs on which new SBS transactions were executed between November 8, 2021, and December 2, 2022. During this period, one CFTC-registered SEF had on average 2.4 new SBS transactions executed per day, while the other CFTC-registered SEF had on average 2.8 new SBS transactions executed per day. These estimates are broadly consistent with the commenter's estimate.

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[846] The one new transaction in interest rate SBS, discussed earlier in this section, was executed on a U.S. platform.

[847] *See* ISDA-SIFMA Letter, *supra* note 18, at 2.

6. Global Regulatory Efforts

In 2009, the G20 leaders—whose membership includes the United States, 18 other countries, and the European Union—addressed global improvements in the OTC derivatives market. They expressed their view on a variety of issues relating to OTC derivatives contracts.[848] In subsequent summits, the G20 leaders have returned to OTC derivatives regulatory reform and reaffirmed their goal of completing such reform.[849]

Foreign legislative and regulatory efforts have generally focused on five areas: (1) moving standardized OTC derivatives onto organized trading platforms; (2) requiring central clearing of OTC derivatives; (3) requiring post-trade reporting of transaction data to trade repositories; (4) establishing or enhancing capital requirements for non-centrally cleared OTC derivatives transactions; and (5) establishing or enhancing margin and other risk mitigation requirements for non-centrally cleared OTC derivatives transactions. The rules being adopted in this release concern the registration and regulation of SBSEFs, a type of organized trading platform.

As of the end of 2022, platform trading requirements were in force in 12 foreign jurisdictions while seven jurisdictions were in the process of proposing legislation or rules to implement platform trading requirements.[850] Eight foreign jurisdictions have made

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848 *See* G20, *Leaders' Statement: The Pittsburgh Summit* (Sept. 24–25, 2009) at para. 13.

849 *See, e.g.*, G20, Osaka Summit Declaration (June 28–29, 2019) at para. 19; Rome Summit Declaration (Oct. 30–31, 2021) at para. 40.

850 Apart from the 12 foreign jurisdictions, the United States is considered to have platform trading requirements in place based on the CFTC's implementation of platform trading requirements. *See* FSB, *OTC Derivatives Market Reforms: Implementation Progress in 2022* Tables 1 & K (Nov. 7, 2022), *available at* https://www.fsb.org/wp-content/uploads/P071122.pdf (describing progress made towards implementing platform trading requirements in 2022) and FSB, *OTC Derivatives Market Reforms: 2019 Progress Report on Implementation* Table A (Oct. 15, 2019), *available at* https://www.fsb.org/2019/10/otc-derivatives-market-reforms-2019-progress-report-on-implementation/ (discussing the CFTC's implementation of platform trading requirements).

determinations with respect to the specific OTC derivatives that are required to be traded on platforms.[851]

7. Trading Models

Unlike the markets for cash equity securities and listed options, the market for SBS currently is characterized by bilateral negotiation in the OTC swap market; is largely decentralized; has many non-standardized instruments; and has many SBS that are not centrally cleared. The lack of uniform rules concerning the trading of SBS and the one-to-one nature of trade negotiation in SBS has resulted in different models for the trading of these securities, ranging from bilateral negotiations carried out over the telephone, to RFQ systems (e.g., single-dealer and multi-dealer RFQ platforms), request-for-stream protocol, and limit order books outside the United States, as more fully described below. The use of electronic media to execute transactions in SBS varies greatly across trading models, with some models being highly electronic whereas others rely almost exclusively on non-electronic means such as the telephone. The reasons for use of, or lack of use of, electronic media vary from such factors as user preference to limitations in the existing infrastructure of certain trading platforms. The description below of the ways in which SBS may be traded is based in part on discussions with market participants and incorporates comments received on the Proposing Release.

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[851] These jurisdictions are China (bond forwards; certain currency forwards, options, and swaps); the European Union (certain index CDS and certain IRS denominated in Euro); India (certain overnight index swaps); Indonesia (equity and commodity derivative products); Japan (selected Yen-denominated IRS); Mexico (certain Peso-denominated IRS); Singapore (certain IRS denominated in Euro, U.S. dollar, and British pound); and United Kingdom (certain index CDS and certain IRS denominated in Euro and certain IRS denominated in British pound). *See* FSB, *2019 Progress Report* (Table R); FSB, *Implementation Progress in 2022* (footnote 12), *supra* note 850, and Financial Conduct Authority, *Register of derivatives subject to the trading obligation under article 28 of UK MiFIR* (July 24, 2023), *available at* https://register.fca.org.uk/servlet/servlet.FileDownload?file=0150X000006gbbG. In its 2022 report, *see supra* note 850, the FSB noted no change in status in the implementation of platform trading requirements since its 2019 report.